

Chapter 4

Building the innovative organization

Innovation is about human creativity and ingenuity—piecing together a puzzle, solving problems, and creating solutions. Developing and implementing new ideas can work only when backed by an innovative organization—one geared to change.

Laying the foundations

The innovation system provides the structure for an idea, and strategy directs it, but it is people who actually make it progress. However, just throwing people at the innovation challenge is not enough: you need to provide a context in which they use their creativity and share their ideas.

Avoiding chaos



***Skunk works**—
a group within an
organization whose
role is to work on
advanced projects
and develop
prototypes with
minimal restrictions.

Blueprints for an innovative organization will highlight the need to eliminate stifling bureaucracy, unhelpful structures, communication barriers, and other factors that stop ideas from getting through. But you must be careful not to fall into the chaos trap—not all innovation works in loose, informal, and organic environments, or “skunk works”*, and these types of organizations can often end up obstructing successful innovation. Successful entrepreneurs and innovative organizations know this, and use a range of structures, tools, and techniques to balance formal and organic structures.